

CHAPTER 50

An Act to authorise the Treasury to guarantee certain loans by the International Bank for Reconstruction and Development to the Governments of colonial territories.
[30th July 1949.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) The Treasury may, subject to the provisions of this Act, guarantee in such manner and on such conditions as they think fit the repayment of the principal of and the payment of the interest on and other charges in respect of any loan made to the Government of a colonial territory by the International Bank for Reconstruction and Development : Guarantee of loans made to colonial territories by the International Bank for Reconstruction and Development.

Provided that the amount of the principal of the loans to be guaranteed under this Act shall not in the aggregate exceed the equivalent of fifty million pounds.

(2) No loan shall be guaranteed under this Act unless the purpose of the loan is approved by the Secretary of State, with the concurrence of the Treasury, as likely to promote the development of the resources of the colonial territory concerned.

(3) A guarantee shall not be given under this Act until the Government of the colonial territory to which the loan is to be made has provided to the satisfaction of the Treasury and the Secretary of State—

- (a) for appropriating and duly applying the loan for the purpose approved as aforesaid;
- (b) for ensuring that any part of the loan which cannot be applied for the purpose approved as aforesaid will be applied only for such other purposes as may be approved by the Secretary of State with the concurrence of the Treasury;
- (c) for the establishment and regulation of one or more sinking funds for the purpose of the repayment of the principal of the loan or any instalment thereof;
- (d) for charging on the general revenues and assets of the colonial territory concerned, or on any other revenues or assets which may be made available for the purpose, the principal and interest of, and other charges in respect of, the loan and the payments to be made to the sinking funds to be established as aforesaid;

(e) for charging on the general revenues and assets of the colonial territory concerned the repayment to the Treasury of any sum issued in pursuance of this Act out of the Consolidated Fund on account of the guarantee under this Act, with interest on the said sum at such rate as the Treasury may fix; and

(f) for raising, or securing the raising of, sufficient money to meet the above charges.

(4) Any sums required by the Treasury for fulfilling any guarantee given under this Act shall be charged on and issued out of the Consolidated Fund or the growing produce thereof, and any sums received by way of the repayment of any sums so issued shall be paid into the Exchequer.

(5) Immediately after any guarantee is given under this section, the Treasury shall lay a statement of the guarantee before each House of Parliament.

(6) Where any sum is issued for fulfilling such a guarantee, the Treasury shall, as soon as possible after the end of each financial year beginning with that in which the sum is issued and ending with that in which all liability in respect of the principal of the sum and in respect of interest thereon is finally discharged, lay before each House of Parliament a statement relating to that sum.

(7) In this section the expression "colonial territory" means Southern Rhodesia, Malta or any territory which, at the date of the making of the loan in question, is of one of the following descriptions, that is to say—

(a) a colony not possessing responsible government; or

(b) a British protectorate or protected state; or

(c) a territory for the time being administered by His Majesty's Government in the United Kingdom under the trusteeship system of the United Nations.

Short title.

2. This Act may be cited as the Colonial Loans Act, 1949.
